

Research Update:

South Africa Outlook Revised To Positive On Improved Reform And Growth Potential

November 15, 2024

Overview

- We expect South African GDP growth will increase to 1.4% over 2025-2027 from 1.0% in 2024 as electricity load-shedding has eased, but ongoing logistics bottlenecks will continue constraining economic activity.
- However, planned acceleration of economic reforms by the new Government of National Unity and a pickup in private investment could bolster prospects more than we expect.
- Despite high gross government debt of about 76% of GDP, fiscal consolidation is ongoing and South Africa benefits from access to deep domestic markets and an actively traded currency.
- We therefore revised our outlook on South Africa to positive from stable and affirmed our 'BB-/B' foreign currency and 'BB/B' local currency long- and short-term ratings on the sovereign.

Rating Action

On Nov. 15, 2024, S&P Global Ratings revised its outlook on South Africa to positive from stable and affirmed its 'BB-/B' foreign currency and 'BB/B' local currency long- and short-term issuer credit ratings on the sovereign.

Outlook

The positive outlook reflects the potential for stronger growth than we expect, alongside government debt stabilization, if the new coalition government can accelerate economic reforms while addressing infrastructure- and fiscal-related pressures.

Upside scenario

We could raise the ratings if an improving track record of effective reforms resulted in structural strengthening of economic growth and reduced government debt and contingent liabilities.

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Downside scenario

We could revise the outlook to stable if ongoing economic and governance reforms do not progress, resulting in a deterioration in economic growth or higher-than-expected fiscal financing needs and interest burdens. This could result, for example, from worsening constraints of critical infrastructure.

Rationale

The positive outlook reflects our view that increased political stability following the May general elections and impetus for reform could boost private investment and GDP growth. Since the formation of the new broad coalition of 11 political parties under the Government of National Unity (GNU), debt yields and portfolio inflows have improved, leading to easing financing conditions and currency strengthening.

Despite the government publishing weaker fiscal projections in the most recent Medium Term Budget Policy Statement (MTBPS) compared with those it published in the February 2024 budget, we see higher fiscal policy predictability regarding efforts toward achieving primary surpluses and fiscal consolidation. We therefore lowered our forecasts for the change in net general government debt to 5.3% of GDP on average over fiscal years 2024-2027 (year ending March 31 of the following year), from 6.0% in our previous review. However, spending pressure and risks to wages, social spending, and transfers to state-owned enterprises (SOEs) will keep gross general government debt levels rising to 80% of GDP by fiscal 2027. This is above government estimates, which forecast debt stabilizing at 75% of GDP by fiscal 2026.

Our ratings on South Africa benefit from the sizable and sophisticated financial system that provides a deep funding base for the government. The country has relatively strong institutions, particularly its central bank, the South African Reserve Bank (SARB). In our view, the SARB's proactive monetary policy response has slowed consumer price increases and we expect inflation to inch below the midpoint of the SARB's 3%-6% target range.

Institutional and economic profile: Growth prospects depend on reforms to address infrastructure shortfalls

- While electricity load-shedding constraints are less acute than in 2023, broader infrastructure shortfalls continue to dampen economic growth.
- We forecast 1.3% growth on average over 2024-2027.
- The new coalition government points to broad policy continuity and increased reform impetus.

We expect real GDP growth to pick up slightly to 1.0% this year from 0.7% in 2023, as more private sector-driven electricity supply comes onstream. Loadshedding peaked in 2023, and we expect electricity shortages to be less acute--there have been more than 200 days without large-scale power cuts since March 2024. Nevertheless, still-subdued consumption and logistics bottlenecks around railway capacity and port operations continue to affect activity across several sectors, including export-oriented ones. In addition, agriculture contracted 10% in the first half of the year due to drought and animal disease.

We forecast higher growth of 1.4% on average over the next three years, partly supported by slowing inflation and declining interest rates, as well as the recent two-pot retirement system that

allows people to partially withdraw funds from their retirement accounts. Per capita, these levels are still less than 0.5% and insufficient to materially lower unemployment of about 33%. Our projections are slightly lower than the government's largely because of our less-supportive view on investment.

Policy reforms to address infrastructure deficits under "Operation Vulindlela" are ongoing, although progress remains slow. The energy sector is seeing some success in improving generation--a private sector pipeline of 22,500 MW of energy generation projects totals almost South African rand (ZAR) 400 billion over the medium term. However, legal issues have significantly delayed an initiative to get a private operator to run a Durban port terminal.

There is renewed business confidence that the GNU government could accelerate growth and business-friendly reforms, as well as improve services delivery. Efforts to realize private participation and public-private partnerships in the railway, ports, power and water sectors, and strengthen the regulatory environment could boost private sector investment beyond our expectations.

At the general elections in May, the ruling party--the African National Council (ANC)--lost its majority for the first time since 1994 (see "South Africa's New Coalition Government Points To Broad Policy Continuity," published June 18, 2024 on RatingsDirect). The ANC (with 40.2% of the vote) formed a broad coalition with 10 political parties including the Democratic Alliance. The election results indicate widespread public frustration over deteriorating economic conditions, poor service delivery, the legacy of state capture, and high inequality and unemployment.

The GNU coalition has established a nine-point agenda to address basic infrastructure and service delivery shortfalls and weak investments, while gradually narrowing fiscal deficits. Nevertheless, we anticipate the government will face a tough battle to revive growth and maintain fiscal discipline, while navigating coalition politics. Moreover, attempts by the main left-leaning opposition parties, uMkhonto weSizwe and Economic Freedom Fighters, to block legislation could increase instability.

South Africa's stance on the Israel-Hamas war and relations with Russia have caused some tension with key Western trade partners and within the GNU coalition. The country benefits from preferential trade access to the U.S. under the African Growth and Opportunity Act (AGOA), although this could come under review with the newly elected U.S. government. We do not expect a material economic impact from a potential AGOA repeal, but geopolitical strains could lead to weaker investor sentiment.

Flexibility and performance profile: Public debt levels will remain elevated given expenditure and revenue pressure

- We forecast gross general government debt rising to 80% of GDP by fiscal 2027 from 75% in fiscal 2023.
- South Africa is overall a net external creditor (on a stock basis), and we expect it will post small current account deficits averaging 1.7% of GDP over 2024-2027.
- We consider South Africa's monetary flexibility, the freely floating exchange rate, and the country's deep financial markets significant credit strengths.

The MTBPS lowered its estimates for government tax revenue and increased expenditure from the February budget, leading to a higher fiscal deficit estimate of 5% of GDP for fiscal 2024 (year ending March 31, 2025) from 4.5%. It also increased deficit projections to 3.7% on average over the next three years, reducing the gap with our forecasts. Higher-than-budgeted spending for this

year follows several factors, including costs for sending troops to eastern Democratic Republic of Congo, higher Social Relief of Distress grants (to ZAR370 million from ZAR350 million), transfers to South African National Roads Agency Ltd. to partly repay its liabilities over several years, and higher interest costs. Despite a small primary surplus, rising debt servicing costs are becoming a larger fiscal burden. We expect interest costs will average about 19.4% of government revenue over fiscal years 2024-2027.

The government aims to keep spending in check to narrow its general government deficits toward 3.2% of GDP in fiscal 2027. We expect larger deficits largely because of potential higher wages, given a track record of difficult negotiations with unions and higher transfers to SOEs because of ongoing liquidity strains at several SOEs, including Transnet. The Social Relief of Distress grant could also be further expanded, but we understand authorities are working to streamline the social spending umbrella and target it toward increasing employment. Still, we have lowered our forecasts for off-budget spending for SOEs compared with our previous review. We think the government is unlikely to provide support similar to the Eskom debt relief package to other SOEs.

We expect net general government debt will continue to rise to 78% of GDP by fiscal 2027 from 73% in fiscal 2024. However, the increase would be greater without the government's tapping of the Gold and Foreign Exchange Contingency Reserve Account for ZAR150 billion (2% of GDP) over fiscal years 2024-2026 (see "The Pros And Cons Of South Africa Tapping Into The SARB's Paper Profits," published Feb. 28, 2024).

Although public finances remain strained, deep domestic capital markets and increasing concessional financing from multilateral institutions from a low base provide adequate funding sources for the government. Banks' exposure to the government has risen to nearly 16% of total assets as of June 30, 2024, from less than 10% in 2015. This remains lower than that of peers such as Brazil, Mexico, and Türkiye. We think banks can continue absorbing government debt.

Foreign-currency-denominated debt remains low, at about 11% of the government's total, limiting sensitivity to currency movements. We expect foreign currency debt to increase modestly with potential Eurobond issuances and concessional financing from international financial institutions such as the World Bank and African Development Bank.

We view South Africa's contingent liabilities as significant, even considering the announced Eskom package. The government had exposure to SOE guarantees worth ZAR503 billion (7.2% of 2023 GDP) as of March 31, 2024; guarantees to Eskom constituted by far the largest part, amounting to 65% of total guarantees. The government also granted ZAR47 billion (0.7% of GDP) in guarantees to Transnet in December, which the rail, port, and pipeline operator has almost fully used. Transnet's total debt stood at 1.8% of GDP as of March 31, 2024. In recent years, the government has settled guaranteed loans and recapitalized South African Airways, defense equipment company Denel, and Land Bank.

We forecast that South Africa's current account deficit will average 1.7% of GDP over 2024-2027, compared with 1.6% in 2023. While imports of energy equipment sharply declined in 2024, we expect some pick-up in imports as consumption and investment increases, while commodity exports will remain constrained due to broadly weak prices and Chinese demand, along with insufficient rail capacity and bottlenecks at ports.

Nevertheless, South Africa's overall net external creditor position and moderate gross external debt provide buffer against external stress. Nonresidents have reduced holdings of local currency government debt to about 26% of the total from 40% in 2017. We expect this level to be broadly stable despite renewed interest from portfolio investors following the elections.

Falling global and domestic inflation, lower oil prices and favorable exchange rates in recent months supported the SARB's decision to reduce interest rates by 25 basis points (bps) in

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September 2024, following the U.S. Fed rate cut of 50 bps. Inflation fell to 3.8% year-on-year in September, from 4.4% in August, relative to almost 6% on average in 2023. We expect inflation will average 4.6% in 2024 and decline to 4.1% on average over 2025-2027. However, supply-side constraints on food and potential adverse currency movements could lead to higher-than-expected inflation in the next year.

Improving business confidence could spur growth in private-sector credit. We forecast lending growth in 2025 to exceed nominal GDP growth at 8%-9%. Credit conditions are set to ease gradually through 2025 amid moderating inflation, which will support household consumption and the mortgage market. We expect credit losses to normalize below 1%, near historical trends, in 2025. Similarly, we expect nonperforming assets to improve toward 4.4% of total loans in 2025 after reaching 4.9% in 2023. Banks remain well capitalized and will gradually start building additional loss absorbing capacity in accordance with the new resolution framework for systemic banks. The South African banking sector is inherently exposed to concentrated short- and medium-term wholesale funding from nonbank financial institutions. Still, in a crisis, rand liquidity largely remains in the country because of resident exchange controls, which mitigate banks' exposure to institutional funding.

Key Statistics

Table 1

South Africa--Selected indicators

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Economic indicators (%)										
Nominal GDP (bil. LC)	5,363	5,625	5,563	6,220	6,656	7,024	7,412	7,827	8,251	8,695
Nominal GDP (bil. \$)	405	389	338	421	406	380	406	451	468	483
GDP per capita (000s \$)	7.0	6.6	5.7	7.0	6.7	6.2	6.4	7.1	7.3	7.4
Real GDP growth	1.6	0.3	(6.2)	5.0	1.9	0.7	1.0	1.6	1.4	1.3
Real GDP per capita growth	(0.6)	(1.5)	(7.5)	4.0	1.1	(1.2)	(1.0)	0.6	0.4	0.3
Real investment growth	(1.2)	(1.7)	(14.8)	(0.4)	4.8	3.9	(3.5)	2.9	2.4	2.0
Investment/GDP	16.2	15.8	12.3	12.8	15.6	15.9	15.1	15.3	15.4	15.5
Savings/GDP	13.2	13.2	14.3	16.5	15.1	14.3	13.6	13.7	13.7	13.6
Exports/GDP	27.5	27.2	27.6	31.1	33.4	32.8	31.6	31.8	32.0	32.3
Real exports growth	2.7	(3.3)	(12.0)	9.7	6.8	3.7	(1.0)	3.1	3.2	3.2
Unemployment rate	27.1	28.7	29.2	34.3	33.5	32.4	33.4	32.0	31.0	30.8
External indicators (%)										
Current account balance/GDP	(2.9)	(2.6)	2.0	3.7	(0.5)	(1.6)	(1.5)	(1.7)	(1.8)	(1.9)
Current account balance/CARs	(9.7)	(8.6)	6.4	10.6	(1.3)	(4.3)	(4.1)	(4.7)	(5.0)	(5.4)
CARs/GDP	30.2	30.2	31.0	34.7	37.2	36.9	35.5	35.2	35.3	35.5
Trade balance/GDP	0.5	0.7	5.2	7.2	3.3	1.5	1.6	1.4	1.3	1.2
Net FDI/GDP	0.3	0.5	1.5	9.5	1.7	1.7	1.5	1.6	1.5	1.5

Table 1

South Africa--Selected indicators (cont.)

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net portfolio equity inflow/GDP	(0.1)	0.3	0.9	(10.9)	(2.0)	(1.4)	(0.4)	(0.2)	(0.3)	(0.3)
Gross external financing needs/CARs plus usable reserves	107.9	108.4	95.5	88.3	94.3	98.2	95.6	96.4	97.3	98.3
Narrow net external debt/CARs	43.6	48.3	27.7	16.7	20.9	16.1	17.1	17.7	18.8	20.4
Narrow net external debt/CAPs	39.7	44.5	29.5	18.7	20.6	15.4	16.5	16.9	17.9	19.4
Net external liabilities/CARs	(44.4)	(35.2)	(124.2)	(80.2)	(59.2)	(67.9)	(62.4)	(51.3)	(44.6)	(37.9)
Net external liabilities/CAPs	(40.5)	(32.4)	(132.6)	(89.7)	(58.4)	(65.1)	(60.0)	(49.0)	(42.5)	(35.9)
Short-term external debt by remaining maturity/CARs	43.0	47.4	52.1	32.2	28.9	36.2	33.0	29.8	29.2	28.6
Usable reserves/CAPs (months)	4.5	4.9	6.7	5.1	4.5	5.0	5.0	4.5	4.3	4.1
Usable reserves (mil. \$)	51,641	55,058	55,013	57,589	60,570	62,518	62,721	62,495	62,261	61,295
Fiscal indicators (general government; %)										
Balance/GDP	(3.7)	(5.1)	(10.0)	(4.7)	(3.7)	(4.5)	(5.0)	(4.6)	(4.0)	(3.7)
Change in net debt/GDP	5.5	8.7	10.1	6.5	7.3	7.9	4.5	7.4	4.7	4.6
Primary balance/GDP	(0.3)	(1.5)	(5.8)	(0.4)	1.0	0.6	0.2	0.7	1.4	1.8
Revenue/GDP	27.0	27.0	25.3	28.2	28.5	27.6	27.3	27.4	27.8	27.8
Expenditures/GDP	30.6	32.1	35.3	32.9	32.2	32.2	32.3	32.0	31.8	31.5
Interest/revenues	12.6	13.5	16.5	15.3	16.3	18.3	19.1	19.3	19.5	19.6
Debt/GDP	52.8	58.9	71.5	69.3	71.9	75.2	75.8	79.1	79.7	80.2
Debt/revenues	195.5	218.1	281.9	246.1	252.2	272.2	277.6	289.0	286.8	288.6
Net debt/GDP	48.3	54.7	65.5	65.0	68.1	72.5	73.2	76.6	77.4	78.0
Liquid assets/GDP	4.4	4.2	6.0	4.3	3.7	2.8	2.6	2.5	2.4	2.3
Monetary indicators (%)										
CPI growth	4.7	4.0	3.3	4.5	6.9	6.0	4.6	4.0	4.2	4.0
GDP deflator growth	4.0	4.6	5.4	6.5	5.0	4.8	4.5	3.9	4.0	4.0
Exchange rate, year-end (LC/\$)	14.41	14.04	14.62	15.89	16.98	18.58	17.30	17.50	17.83	18.00
Banks' claims on resident non-gov't sector growth	7.9	6.1	2.4	5.6	9.7	3.3	8.0	8.0	9.0	9.0
Banks' claims on resident non-gov't sector/GDP	70.2	71.0	73.5	69.4	71.2	69.7	71.4	73.0	75.5	78.0

Table 1

South Africa--Selected indicators (cont.)

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Foreign currency share of claims by banks on residents	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Foreign currency share of residents' bank deposits	5.5	5.9	5.3	5.6	5.4	5.9	6.0	6.0	6.0	6.0
Real effective exchange rate growth	1.5	(3.2)	(9.2)	9.3	(2.1)	(8.1)	N/A	N/A	N/A	N/A

Sources: Statistics South Africa, IMF (economic indicators), South African Reserve Bank, IMF (external indicators); The National Treasury (fiscal indicators); IMF, South African Reserve Bank (monetary indicators).

Adjustments: General government debt adjusted by including guaranteed debt of South African Airways.

Definitions: Savings is defined as investment plus the current account surplus (deficit). Investment is defined as expenditure on capital goods, including plant, equipment, and housing, plus the change in inventories. Banks are other depository corporations other than the central bank, whose liabilities are included in the national definition of broad money. Gross external financing needs are defined as current account payments plus short-term external debt at the end of the prior year plus nonresident deposits at the end of the prior year plus long-term external debt maturing within the year. Narrow net external debt is defined as the stock of foreign and local currency public- and private- sector borrowings from nonresidents minus official reserves minus public-sector liquid claims on nonresidents minus financial-sector loans to, deposits with, or investments in nonresident entities. A negative number indicates net external lending. N/A--Not applicable. LC--Local currency. CARs--Current account receipts. FDI--Foreign direct investment. CAPs--Current account payments. The data and ratios above result from S&P Global Ratings' own calculations, drawing on national as well as international sources, reflecting S&P Global Ratings' independent view on the timeliness, coverage, accuracy, credibility, and usability of available information.

Ratings Score Snapshot

Table 2

South Africa--Ratings score snapshot

Key rating factors	Score	Explanation
Institutional assessment	4	South Africa's political structure is clearly defined, and checks and balances are strong, with division of power and an independent judiciary. South Africa also benefits from a free press and deep financial markets. Nevertheless, perceived levels of corruption are high, and there is reduced predictability of policy responses due to parts of the population desiring more economic participation and land. Funding requirements for new policy priorities and redistribution could weaken support for sustainable public finances and undermine economic growth.
Economic assessment	5	Based on GDP per capita (US\$) and growth trends as per Selected indicators in Table 1. Weighted-average real GDP per capita trend growth over a 10-year period is well below that of sovereigns in the same GDP category.
External assessment	2	Based on narrow net external debt, as per Selected indicators in Table 1. We consider the South African rand an actively traded currency, accounting for about 1% of global foreign exchange market turnover.
Fiscal assessment: flexibility and performance	6	Based on the change in net general government debt (% of GDP), as per Selected indicators in table 1. The country faces shortfalls in basic services and infrastructure, as reflected, for instance, by problems around regular electricity supply and logistics.
Fiscal assessment: debt burden	6	Based on net general government debt (% of GDP) and general government interest expenditure (% of general government revenue), as per Selected indicators in table 1.

Table 2

South Africa--Ratings score snapshot (cont.)

Key rating factors	Score	Explanation
		We classify contingent liabilities as moderate under our criteria (on a scale of limited, moderate, high, and very high), given significant financial pressures at state-owned utility Eskom and other state-owned enterprises.
Monetary assessment	2	The rand is a free-floating currency.
		The central bank has a track record of independence and uses market-based monetary instruments such as a repurchase agreement rate; consumer price index as per Selected Indicators in table 1. The central bank has the ability to act as lender of last resort for the financial system.
Indicative rating	bb	As per Table 1 of "Sovereign Rating Methodology."
Notches of supplemental adjustments and flexibility	-1	The negative notch of flexibility reflects that economic pressures on GDP per capita remain (noting the very high exchange rate volatility), and could be exacerbated by headwinds to growth stemming from infrastructure bottlenecks.
Final rating		
Foreign currency	BB-	
Notches of uplift	1	Default risks apply differently to foreign- and local-currency debt. South Africa has well-developed domestic capital markets and an independent monetary policy with a track record of a free-floating exchange rate, and a very active local fixed-income market with secondary market trading. Foreign participation in rand- denominated debt suggests the depth of the market and its diverse investor base.
Local currency	BB	

S&P Global Ratings' analysis of sovereign creditworthiness rests on its assessment and scoring of five key rating factors: (i) institutional assessment; (ii) economic assessment; (iii) external assessment; (iv) the average of fiscal flexibility and performance, and debt burden; and (v) monetary assessment. Each of the factors is assessed on a continuum spanning from 1 (strongest) to 6 (weakest). S&P Global Ratings' "Sovereign Rating Methodology," published on Dec. 18, 2017, details how we derive and combine the scores and then derive the sovereign foreign currency rating. In accordance with S&P Global Ratings' sovereign ratings methodology, a change in score does not in all cases lead to a change in the rating, nor is a change in the rating necessarily predicated on changes in one or more of the scores. In determining the final rating the committee can make use of the flexibility afforded by §15 and §§126-128 of the rating methodology.

Related Criteria

- General Criteria: National And Regional Scale Credit Ratings Methodology, June 8, 2023
- General Criteria: Environmental, Social, And Governance Principles In Credit Ratings, Oct. 10, 2021
- Criteria | Governments | Sovereigns: Sovereign Rating Methodology, Dec. 18, 2017
- General Criteria: Methodology For Linking Long-Term And Short-Term Ratings, April 7, 2017
- General Criteria: Principles Of Credit Ratings, Feb. 16, 2011
- General Criteria: Methodology: Criteria For Determining Transfer And Convertibility Assessments, May 18, 2009

Related Research

- Sovereign Ratings Score Snapshot, Nov. 7, 2024
- Sovereign Ratings History, Oct. 9, 2024

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- Sovereign Ratings List, Oct. 9, 2024
- Sovereign Risk Indicators, Oct. 7, 2024. An interactive version is also available at www.spratings.com/sri.
- Banking Industry Country Risk Assessment: South Africa, July 31, 2024
- South Africa's New Coalition Government Points To Broad Policy Continuity, June 18, 2024
- Default, Transition, and Recovery: 2023 Annual Global Sovereign Default And Rating Transition Study, March 27, 2024
- The Pros And Cons Of South Africa Tapping Into The SARB's Paper Profits, Feb. 28, 2024

In accordance with our relevant policies and procedures, the Rating Committee was composed of analysts that are qualified to vote in the committee, with sufficient experience to convey the appropriate level of knowledge and understanding of the methodology applicable (see 'Related Criteria And Research'). At the onset of the committee, the chair confirmed that the information provided to the Rating Committee by the primary analyst had been distributed in a timely manner and was sufficient for Committee members to make an informed decision.

After the primary analyst gave opening remarks and explained the recommendation, the Committee discussed key rating factors and critical issues in accordance with the relevant criteria. Qualitative and quantitative risk factors were considered and discussed, looking at track-record and forecasts.

The committee's assessment of the key rating factors is reflected in the Ratings Score Snapshot above.

The chair ensured every voting member was given the opportunity to articulate his/her opinion. The chair or designee reviewed the draft report to ensure consistency with the Committee decision. The views and the decision of the rating committee are summarized in the above rationale and outlook. The weighting of all rating factors is described in the methodology used in this rating action (see 'Related Criteria And Research').

Ratings List

Ratings Affirmed; Outlook Action

	To	From
South Africa		
Sovereign Credit Rating		
Foreign Currency	BB-/Positive/B	BB-/Stable/B
Local Currency	BB/Positive/B	BB/Stable/B
Ratings Affirmed		
South Africa		
Sovereign Credit Rating		
South Africa National Scale	zaAAA/--/zaA-1+	
Transfer & Convertibility Assessment	BB+	
Senior Unsecured	BB	
Senior Unsecured	BB-	

Regulatory Disclosures

- Primary credit analyst: Zahabia Saleem Gupta, Director
- Rating committee chairperson: Dhruv Roy
- Date initial rating assigned: Oct. 3, 1994
- Date of previous review: Nov. 17, 2023

Disclaimers

This rating has been determined by a rating committee based solely on the committee's independent evaluation of the credit risks and merits of the issuer or issue being rated in accordance with S&P Global Ratings published criteria and no part of this rating was influenced by any other business activities of S&P Global Ratings.

This credit rating is solicited. The rated entity did participate in the credit rating process. S&P Global Ratings did have access to the accounts, financial records and other relevant internal, non-public documents of the rated entity or a related third party. S&P Global Ratings has used information from sources believed to be reliable but does not guarantee the accuracy, adequacy, or completeness of any information used.

Materials Used In The Credit Rating Process: Sufficient information in general consists of both (i) financial statements that describe the Issuer's financial condition, results of operations and cash-flows, and (ii) a description of the activities and obligations of the entity including of its governance and legal structure.

This credit rating was disclosed to the rated entity or related third party before being issued.

S&P Global Ratings' regulatory disclosures (PCRs) are published as of a point-in-time, which is current as of the date a Credit Rating Action was last published. S&P Global Ratings updates the PCR for a given Credit Rating to include any changes to PCR disclosures only when a subsequent Credit Rating Action is published. Thus, disclosure information in this PCR may not reflect changes to data within PCR disclosures that can occur over time subsequent to the publication of a PCR but that are not otherwise associated with a Credit Rating Action. Note that there may be instances where the PCR reflects an updated Ratings Model version in business use as of the date of the last Credit Rating Action although use of the updated Ratings Model was deemed unnecessary to produce that Credit Rating Action. For example, this may occur in the case of event-driven reviews where the event being assessed is considered to be not relevant to running the updated Ratings Model version. Note also that, in accordance with applicable regulatory requirements, S&P Global Ratings evaluates the impact of material changes to Ratings Models and, where appropriate, issues revised Credit Ratings where necessitated by the updated Ratings Model.

Glossary

- Consumer price index (CPI): Index of prices of a representative set of consumer goods regularly bought by a typical household.
- Current account balance: Exports of goods and services minus imports of the same plus net factor income plus official and private net transfers.
- Current account receipts (CAR): Proceeds from exports of goods and services plus factor income earned by residents from non-residents plus official and private transfers to residents from non-residents.
- Date initial rating assigned: The date S&P Global Ratings assigned the long-term foreign currency issuer credit rating on the entity.
- Date of previous review: The date S&P Global Ratings last reviewed the credit rating on the entity.
- Debt burden assessment: Reflects a sovereign's prospective debt level, as indicated by the general government debt relative to GDP (including assessment of contingent liabilities), the interest cost of the debt relative to general government revenue, and debt structure and funding access.
- Depository corporation claims: Claims from resident depository corporations (excluding those of the central bank) on the resident nongovernment sector.
- Economic assessment: Based on the analysis of economic structure and growth prospects. Reflects income levels (GDP per capita), economic growth prospects, and economic diversity and volatility.
- ESG credit factors: Those environmental, social, and governance (ESG) factors that can materially influence the creditworthiness of a rated entity or issue and for which we have sufficient visibility and certainty to include in our credit rating analysis. These credit factors can have a negative or positive impact on creditworthiness, depending on whether they represent a risk or an opportunity.
- External assessment: Based on the analysis of external liquidity and international investment position as well as the status of a sovereign's currency in international transactions. Reflects a country's ability to obtain funds from abroad necessary to meet its public- and private-sector obligations to non-residents.
- Fiscal performance and flexibility assessment: Reflects the sustainability of sovereign's fiscal deficits. Based on the prospective change in general government debt, calculated as a percentage of GDP, taking into account long-term trends and a government's fiscal flexibility and vulnerabilities.
- Foreign direct investment (FDI): Direct investment by non-residents.
- GDP per capita: GDP divided by population.
- General government: Aggregate of the national, regional, and local government sectors, including social security and other defined benefit public-sector pension systems, and excluding intergovernmental transactions.
- General government debt: Debt incurred by national, regional, and local governments and central bank debt.

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- General government interest: Interest payments on general government debt.
- General government liquid financial assets: General government deposits in financial institutions (unless the deposits are a source of support to the recipient institution), widely traded securities, plus minority arms-length holdings of incorporated enterprises that are widely traded plus balances of defined-benefit government-run pension plans or social security funds (or stabilization or other freely available funds) that are held in bank deposits, widely traded securities, or other liquid forms.
- Gross domestic product (GDP): Total market value of goods and services produced by resident factors of production.
- Gross external financing needs: Current account payments plus short-term external debt at the end of the prior year, including non-resident deposits at the end of the prior year plus long-term external debt maturing within the year.
- Institutional assessment: An analysis of how a government's institutions and policymaking affect a sovereign's credit fundamentals by delivering sustainable public finances, promoting balanced economic growth, and responding to economic or political shocks. Reflects the effectiveness, stability, and predictability of the sovereign's policymaking and political institutions; transparency and accountability of institutions, data, and processes; the sovereign's debt payment culture; and security risks.
- Monetary base: Local currency in circulation plus the monetary authority's local currency liabilities to other depository corporations.
- Monetary assessment: The extent to which a sovereign's monetary authority can fulfil its mandate while supporting sustainable economic growth and attenuating major economic or financial shocks. Based on the analysis of the sovereign's ability to coordinate monetary policy with fiscal and other economic policies to support sustainable economic growth; the credibility of monetary policy, and the effectiveness of market-oriented monetary mechanisms.
- Narrow net external debt: Stock of foreign and local currency public- and private-sector borrowings from non-residents minus official reserves minus public-sector liquid claims on non-residents minus financial sector loans to, deposits with, or investments in non-resident entities.
- Net general government debt: General government debt minus general government liquid financial assets.
- Net external liabilities: Total public- and private-sector liabilities to non-residents minus total external assets.
- Official reserves: Monetary authority liquid claims in foreign currency (including gold) on nonresidents.
- Real GDP per capita: Constant-price per capita GDP.
- Terms of trade: Price of goods exports relative to price of goods imports.
- Usable reserves: Official reserves minus items not readily available for foreign exchange operations and repayment of external debt.

Certain terms used in this report, particularly certain adjectives used to express our view on rating relevant factors, have specific meanings ascribed to them in our criteria, and should therefore be read in conjunction with such criteria. Please see Ratings Criteria at www.spglobal.com/ratings for further information. A description of each of S&P Global Ratings' rating categories is contained in "S&P Global Ratings Definitions" at <https://disclosure.spglobal.com/ratings/en/regulatory/article/-/view/sourceId/504352>. Complete ratings

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